CASCADIA ANALYTICS

Boston Scientific Corporation

Equity Research Note | BSX | 23
OCTOBER 2026

Medtech Cash Compounder

Boston Scientific screens as a Buy with a $72.10 blended target, 58% above the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$45.69	$72.10	+58%	BUY

Investment Thesis

Medtech Cash Compounder. Cardiovascular device leader with 69% gross margins, GAAP operating margins expanding from 13.0% to 18.0% (FY22-25), ROE 19.3% and D/E of 0.43. Scale, IP and physician relationships form a genuine moat [10-K]. Air Pocket, Not a Broken Model. Q2 delivered 7% organic growth and a 15% EPS beat [10-Q Q2 '26]. H2 pressure comes from WATCHMAN and EP share losses plus a September cyber incident, forcing an FY26 guide cut to 5-6% organic [8-K]. Painful but identifiable. +54% Upside With a Trigger.

- Medtech Cash Compounder
- Air Pocket, Not a Broken Model
- +54% Upside With a Trigger

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The latest print

Air Pocket, Not a Broken Model. Q2 delivered 7% organic growth and a 15% EPS beat. H2 pressure comes from WATCHMAN and EP share losses plus a September cyber incident, forcing an FY26 guide cut to 5-6% organic. Painful but identifiable.

+54% Upside With a Trigger. At $45.69, DCF base $70.17 implies +54% upside and the reverse DCF prices -0.0% CAGR, below the 3% bear case. The Oct 28 Q3 reset is the clearing event that can rerate the name.

$5.44B	$0.86	28.4%	5-6% organic, $3.28-3.32 EPS	3-5% organic, $0.80-0.82 EPS
REVENUE (Q2 '26)	ADJ EPS (Q2 '26)	ADJ OP MARGIN (Q2 '26)	FY2026 GUIDE (CUT)	Q3 '26 GUIDE

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 '26)	$5.44B	+7.5% (7% organic)	Up
Adj EPS (Q2 '26)	$0.86	+15% (beat $0.83 cons)	Up
Adj Op Margin (Q2 '26)	28.4%	+120 bps	Up
FY2026 Guide (cut)	5-6% organic, $3.28-3.32 EPS	Cut from prior plan	Down
Q3 '26 Guide	3-5% organic, $0.80-0.82 EPS	Below consensus $0.83-0.84	Down
Sep 8 Disclosure	Cyber incident	Q3 and FY guide unlikely met	Down
Net Margin (TTM)	17.5%	+6 pts	Up
Consensus Price Target	$68.60	Moderate Buy	Down

The moat

Interventional cardiology, neuromodulation and interventional oncology delivered double-digit growth in H1 2026

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The growth engine

New COO (Joseph Fitzgerald) and 3-segment structure effective Jan 1, 2027 to speed decisions and improve capital allocation

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2027-36 CAGR	2036 REVENUE	2036 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	3.0%	$29.16B	19.9%	**$53.52**	+17%
Base	50%	5.0%	$35.35B	23.1%	**$70.17**	+54%
Bull	25%	7.0%	$42.69B	27.4%	**$94.54**	+107%

Bear: downside case at $53.52 (+17%).

Base: central case at $70.17 (+54%).

Bull: upside case at $94.54 (+107%).

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The probability-blended target implies 58% upside

A 25% Bear / 50% Base / 25% Bull weighting implies +58% from the $45.69 reference price.

$72.10
BLENDED TARGET

The valuation uses a ten-year unlevered free cash flow DCF (2027-2036). The bridge runs revenue to EBIT to cash taxes, then adds back stock-based compensation and D&A and subtracts capex and working-capital investment. The EBIT margin path is solved from the FY2026 free-cash-flow anchor of $4.2B and interpolates to the 2036 margins (19.9% Bear, 23.1% Base, 27.4% Bull): it starts at a GAAP-like 19.0%, and the terminal Base margin sits above every filed GAAP year (filed peak 19.8% TTM to Q2 2026) but below the current 28.4% adjusted operating margin. The discount rate is a CAPM cost of equity (10-year Treasury plus a 0.60 beta times the market-implied equity risk premium), labelled WACC in the workbook; it is a static rate with no beta-decay schedule.

We now take terminal value as the Gordon growth value alone; the exit-multiple leg and the blended average are retained in the model as cross-checks and are not used in the valuation. The Gordon leg capitalizes 2036 free cash flow at 2.0% perpetual growth ($113.7B Bear, $151.6B Base, $208.1B Bull); the exit leg applies an EV/FCF multiple to 2036 free cash flow of 18x Bear, 22x Base and 26x Bull ($105.0B, $171.1B and $277.5B). The exit legs imply perpetual growth of 1.59% Bear, 2.57% Base and 3.26% Bull, versus our 2.0% Gordon assumption, and the growth-consistent exit multiple is 19.50x EV/FCF in every scenario. The present value of terminal value is 62.1% of Bear, 65.2% of Base and 68.3% of Bull enterprise value. Targets are divided by 1,475M diluted shares (weighted average for Q2 2026, post-ASR).

Revenue base (2026E)	**$21.70B**
Valuation horizon	**2027-2036**
Live WACC	**7.23%**
Terminal growth	**2.0%**
Net debt	**$12.09B**
2036 FCF (Base)	**$7.78B**
10-year Treasury yield	**5.0%**
Beta	**0.60**
Equity risk premium	**3.7%**

BUY | $72.10 BLENDED TARGET | WEN

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The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 0.0%, below Bear case (3%) , pessimistic.

Reverse DCF sensitivity

Implied enterprise value and share price at each ten-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$36.7B	$16.72	+10%	$175.1B	$110.54	+30%	$797.8B	$532.67
-9%	$39.6B	$18.66	+11%	$189.4B	$120.24	+31%	$857.4B	$573.11
-8%	$42.7B	$20.76	+12%	$204.9B	$130.71	+32%	$921.2B	$616.33
-7%	$46.1B	$23.05	+13%	$221.5B	$142.00	+33%	$989.3B	$662.50
-6%	$49.8B	$25.54	+14%	$239.5B	$154.16	+34%	$1062.0B	$711.80
-5%	$53.7B	$28.25	+15%	$258.8B	$167.27	+35%	$1139.6B	$764.42
-4%	$58.1B	$31.18	+16%	$279.6B	$181.39	+36%	$1222.4B	$820.56
-3%	$62.8B	$34.37	+17%	$302.0B	$196.58	+37%	$1310.7B	$880.43
-2%	$67.9B	$37.84	+18%	$326.2B	$212.93	+38%	$1404.8B	$944.24
-1%	$73.4B	$41.60	+19%	$352.1B	$230.50	+39%	$1505.1B	$1,012.24
+0%	**$79.5B**	**$45.68**	+20%	$379.9B	$249.38	+40%	$1612.0B	$1,084.67
+1%	$86.0B	$50.10	+21%	$409.9B	$269.67	+41%	$1725.7B	$1,161.77
+2%	$93.1B	$54.90	+22%	$442.0B	$291.45	+42%	$1846.7B	$1,243.83
+3%	$100.7B	$60.09	+23%	$476.5B	$314.83	+43%	$1975.5B	$1,331.13
+4%	$109.0B	$65.72	+24%	$513.4B	$339.90	+44%	$2112.4B	$1,423.95
+5%	$118.0B	$71.81	+25%	$553.1B	$366.79	+45%	$2258.0B	$1,522.62
+6%	$127.7B	$78.39	+26%	$595.6B	$395.60	+46%	$2412.6B	$1,627.47
+7%	$138.2B	$85.52	+27%	$641.1B	$426.45	+47%	$2576.9B	$1,738.82
+8%	$149.6B	$93.22	+28%	$689.8B	$459.49	+48%	$2751.2B	$1,857.06
+9%	$161.9B	$101.55	+29%	$742.0B	$494.85			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

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SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$91.01B	18.0x	2.0%	-$12.09B	$78.93B	**$53.52**
Base	$115.57B	22.0x	2.0%	-$12.09B	$103.48B	**$70.17**
Bull	$151.49B	26.0x	2.0%	-$12.09B	$139.41B	**$94.54**

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
Bear	$53.51	$57.38	$58.37	$59.33	$60.25	$61.13	$61.95	$62.71	$63.40	$64.01	$64.54
Base	$70.16	$75.23	$77.42	$79.57	$81.64	$83.64	$85.53	$87.29	$88.90	$90.33	$91.54
Bull	$94.52	$101.35	$105.32	$109.25	$113.09	$116.82	$120.37	$123.71	$126.77	$129.48	$131.76

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $72.10 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

Interventional cardiology, neuromodulation and interventional oncology delivered double-digit growth in H1 2026

New COO (Joseph Fitzgerald) and 3-segment structure effective Jan 1, 2027 to speed decisions and improve capital allocation

69% gross margins and 28.4% adjusted operating margins funding the pipeline and debt paydown

Revenue and margin trend

METRIC	2022	2023	2024	2025	TTM
Revenue	$12.68B	$14.24B	$16.75B	$20.07B	$21.00B
Gross Margin	68.8%	69.5%	68.6%	69.0%	69.2%
Op Margin	13.0%	16.5%	15.5%	18.0%	19.8%

Valuation cross-check

Fwd P/E 13.1x

DCF Base $70.17

PEG ~1.0

+54% upside to the base case. A PEG near 1.0 is rare for a consistent double-digit EPS grower, though the cyber overhang earns the discount.

Large-cap device peers trade at higher multiples

BSX screens cheap versus medtech peers despite a historically superior organic growth profile. The discount reflects near-term uncertainty, not structural decline.

Near 52w low $41.38 vs high $105.65

Trading roughly 60% below its 52-week high after the guidance cut and cyber disclosure, at the low end of its historical multiple range.

What to monitor

28-Oct-2026. Q3 2026 Earnings + Revised Outlook (Two-Sided): Sep 8 statement says Q3 and FY guidance are unlikely to be met after the cyber incident. The reset print sets the new baseline.

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Jan 2027. New COO + 3-Segment Structure (Positive): Joseph Fitzgerald takes over as COO; Interventional Therapies, Rhythm Solutions and MedSurg segments begin, designed to speed decisions.

2027. Pipeline Acceleration (Positive): Interventional cardiology, neuromodulation and interventional oncology delivered double-digit growth in H1 2026; product cycles need to offset WATCHMAN/EP pressure.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2022	$12.7B	$8.7B	$1.6B	$2.7B
2023	$14.2B	$9.9B	$2.3B	$3.4B
2024	$16.7B	$11.5B	$2.6B	$3.9B
2025	$20.1B	$13.9B	$3.6B	$5.1B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2022	$32.5B	$14.9B	$17.6B	$928M
2023	$35.1B	$15.6B	$19.3B	$865M
2024	$39.4B	$17.4B	$21.8B	$414M
2025	$43.7B	$19.2B	$24.2B	$2.0B

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Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2022	$1.5B	$-612M	$-548M	$914M
2023	$2.5B	$-800M	$5M	$1.7B
2024	$3.4B	$-1.1B	$1.8B	$2.4B
2025	$4.5B	$-1.1B	$-395M	$3.4B

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $72.10 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 44 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.25% of shares outstanding. Form 4 filings over the trailing six months show $10.04M of open-market purchases against $0 of sales, a net flow of $10.04M. One-year total shareholder return is -54.5% against CEO total pay of $5.73M (Mr. Michael F. Mahoney), which the model scores as SUB-OPTIMAL ALIGNMENT.

44
AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	2 / 40	0.25% of shares held by insiders
Form 4 Flow (Conviction Flow)	30 / 30	Buys $10.04M (8) vs sales $0 (0), net $10.04M, trailing six months
Pay-for-Performance	12 / 30	SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -54.5%; Mr. Michael F. Mahoney, Chairman, President & CEO, total pay $5.73M
Agency Risk Score	**44 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-08-25	Morano Susan E.	Director	BUY	2,040	$100.4K
2026-08-05	Habiger David C	Director	BUY	2,100	$99.9K
2026-08-04	Habiger David C	Director	BUY	1,182	$56.9K
2026-08-03	Mahoney Michael F	Chief Executive Officer	BUY	186,240	$9.00M
2026-07-31	Ludwig Edward J.	Director	BUY	5,000	$227.4K
2026-05-20	Ludwig Edward J.	Director	BUY	3,580	$202.9K
2026-05-20	Habiger David C	Director	BUY	4,450	$251.1K
2026-05-20	Pegus Cheryl	Director	BUY	1,770	$100.0K

SEC proxy audit, DEF 14A filed 2026-03-18

Alignment grade C. COMPENSATION DATA NOT PROVIDED. Michael F. Mahoney, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

The provided proxy excerpt contains only introductory voting items and initial director nominees (pages 1–13), omitting the Executive Compensation section that begins on page 76. Without the Summary Compensation Table and CD&A disclosures, specific compensation shifts, annual bonus determinations, and TSR linkages cannot be audited from this excerpt. Access to the full DEF 14A filing is required to quantify executive pay alignment.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/885725/000088572526000025/bsx-20260318.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 23 October 2026 for this note.

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The bear case

Cyber Incident Overhang

September 8 statement says Q3 and full-year guidance are unlikely to be met after the incident; the extent of operational impact is unknown until the October 28 revision.

WATCHMAN Structural Decline

The US WATCHMAN market slowed sharply and unexpectedly on compounding clinical evidence, shifting referral patterns. This was a core growth driver and may be structural, not cyclical.

EP Competitive Share Loss

Management did not anticipate the degree of competitive share movement in US electrophysiology. Share recapture is uncertain and expensive.

The strengths

Operating Quality

Cardiovascular device leader with 69% gross margins, GAAP operating margins expanding 13.0% to 18.0% (FY22-25), ROE 19.3%, and conservative leverage (D/E 0.43). Scale, IP and physician relationships are a real moat.

Recent Trend

Revenue grew 12.7B to 20.1B (FY22-25) but H1 2026 organic was 7% and H2 is pressured: WATCHMAN slowed sharply, EP lost US share, and management cut FY26 organic guidance to 5-6%. Trend is bending, not breaking.

Forward Growth

New COO and 3-segment structure in Jan 2027, plus double-digit growth in IC/ neuromodulation/oncology, support recovery. But WATCHMAN structural slowdown, EP competition and the cyber disruption cap near-term visibility.

Valuation

DCF base $70.17 vs spot $45.69 implies +54% upside. Forward P/E 13.1x with PEG near 1.0 is cheap vs device peers and vs own history (near 52w low). Reverse DCF implies -0.0% CAGR, well below the 3% bear case.

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Cascadia scorecard

Composite score 65: Attractive. Confidence High, as of 17-Oct-2026.

PILLAR	RATIONALE	SCORE
Operating Quality	Cardiovascular device leader with 69% gross margins, GAAP operating margins expanding 13.0% to 18.0% (FY22-25), ROE 19.3%, and conservative leverage (D/E 0.43). Scale, IP and physician relationships are a real moat.	80
Recent Trend	Revenue grew 12.7B to 20.1B (FY22-25) but H1 2026 organic was 7% and H2 is pressured: WATCHMAN slowed sharply, EP lost US share, and management cut FY26 organic guidance to 5-6%. Trend is bending, not breaking.	55
Forward Growth	New COO and 3-segment structure in Jan 2027, plus double-digit growth in IC/neuromodulation/oncology, support recovery. But WATCHMAN structural slowdown, EP competition and the cyber disruption cap near-term visibility.	55
Valuation	DCF base $70.17 vs spot $45.69 implies +54% upside. Forward P/E 13.1x with PEG near 1.0 is cheap vs device peers and vs own history (near 52w low). Reverse DCF implies -0.0% CAGR, well below the 3% bear case.	76
Catalysts & Risk	Oct 28 Q3 print with the revised outlook is the clearing event. Management change and pipeline cycles are positives, but the cyber incident extent is unknown and guidance credibility is damaged. Skew is balanced near term.	55

Investment view

The Oct 28 Q3 print plus revised outlook is the swing factor: if the cyber impact is contained and the new baseline is credible, Valuation and Trend rerate quickly. Another cut would drop Forward Growth and jeopardize the Buy rating.

Investment view: Buy. The $72.10 blended target implies +58%, balancing the $53.52 / $70.17 / $94.54 Bear / Base / Bull outcomes.

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